India & Cyprus: Strengthening Partnership, Shaping Shared Growth

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FOREWORD

India and Cyprus share a longstanding relationship built on mutual respect, historical goodwill and deepening institutional engagement. In recent years, this relationship has entered a new phase, marked by stronger political exchanges, expanding institutional linkages and growing cooperation across trade, investment, technology, finance, energy, maritime services, education and other emerging sectors. The evolving strategic partnership provides a strong foundation for the business communities of both countries to build more meaningful and sustained economic engagement.

This Knowledge Paper examines Cyprus not merely as a small European market, but as a potential EU facing business and investment base for Indian enterprises. Its EU and euro area membership, established maritime and financial services ecosystem, growing technology sector and strategic location in the Eastern Mediterranean create opportunities for Indian companies seeking European and regional connectivity. At the same time, Cyprus presents specific requirements and challenges including skills shortages, energy costs, water stress and infrastructure constraints where Indian capabilities can offer practical areas for collaboration.

The paper also highlights an important opportunity for the India–Cyprus economic relationship. While diplomatic and institutional engagement has expanded considerably, commercial activity remains comparatively limited. The priority, therefore, is to move beyond dialogue and MoUs towards stronger B2B engagement, investment partnerships, services trade, technology cooperation and joint ventures.

For the Chamber of Commerce and Industry, this presents a clear role: to act as a bridge between institutions and businesses, facilitate market entry and matchmaking, strengthen industry to industry dialogue, and help convert identified opportunities into a structured pipeline of commercial outcomes. This paper is intended as a practical reference for Indian businesses, policymakers and stakeholders seeking to deepen India–Cyprus economic cooperation.

We hope this Knowledge Paper contributes to a more informed, focused and commercially meaningful India–Cyprus partnership, and supports the creation of new avenues for trade, investment, innovation and long term business collaboration.



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CYPRUS

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Basic Facts, Demographics, and Monetary System:
Cyprus is an island country in the eastern Mediterranean with a population of about 1.0 million people. The capital is Nicosia, and the official currency is the Euro (EUR). The country has a strategic location connecting Europe, Asia, and Africa, making it important for trade and finance.

Economic Landscape and Gross Domestic Product (GDP)

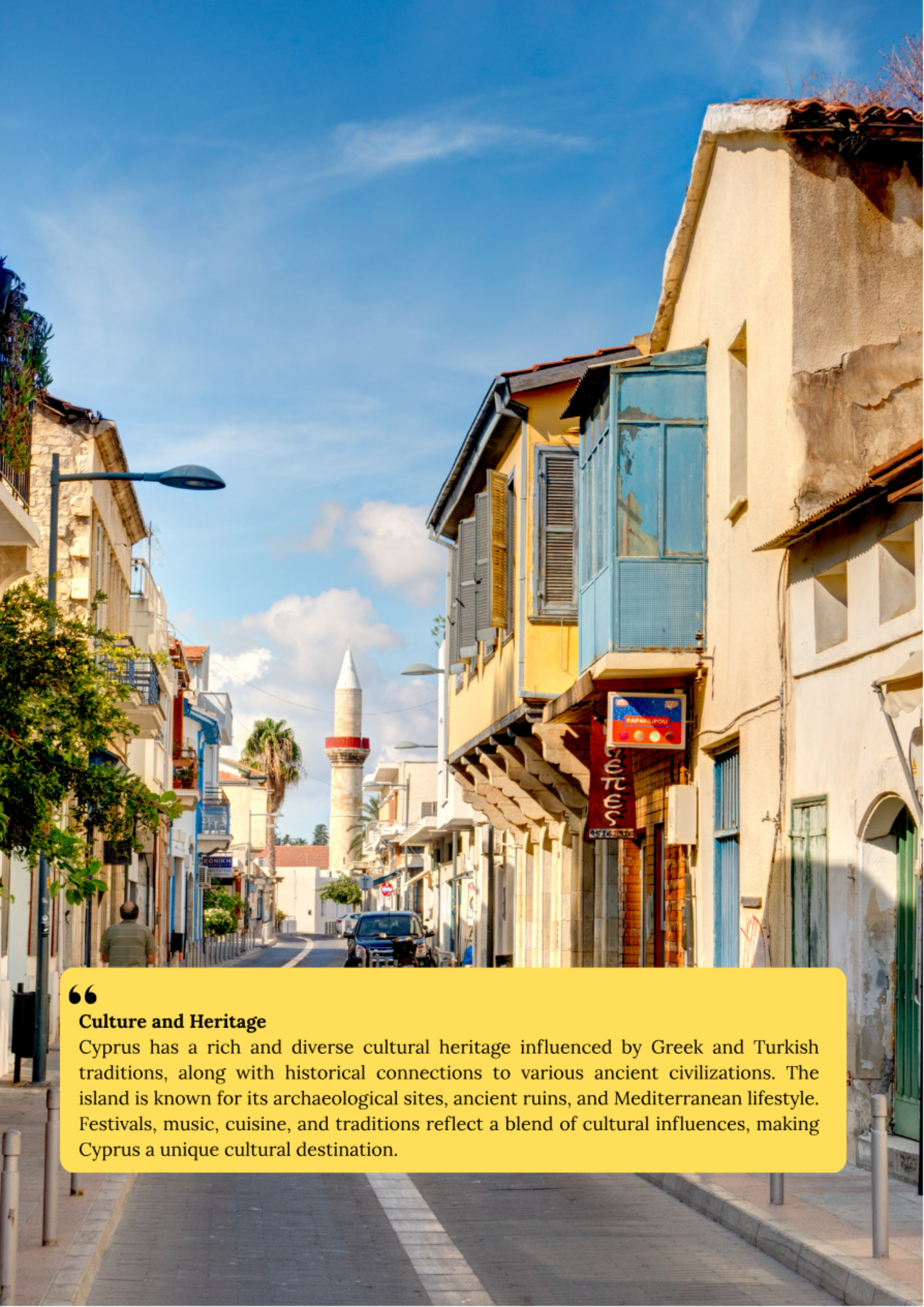
Cyprus has a GDP of approximately USD 41.2 billion and is classified as a high-income economy. The country's economic structure is primarily service-oriented, with tourism, banking, shipping, and financial services playing dominant roles. Over the years, Cyprus has successfully recovered from past financial crises through structural reforms, fiscal discipline, and diversification of its economy. Its strategic location and investor-friendly policies make it an attractive destination for foreign investment.

The primary sectors contributing to GDP are:

Services:
The service sector is the backbone of Cyprus's economy, contributing the largest share to GDP. Tourism is a major driver, attracting millions of visitors annually. Financial services, including banking and offshore business activities, also play a crucial role.

Industry:
Industrial activity includes manufacturing, construction, and energy-related projects. The sector supports infrastructure development and contributes to employment and economic growth.

Agriculture:
Agriculture contributes a smaller share but remains important for local consumption and exports. Key products include citrus fruits, olives, potatoes, and dairy products such as halloumi cheese.



Culture and Heritage

Cyprus has a rich and diverse cultural heritage influenced by Greek and Turkish traditions, along with historical connections to various ancient civilizations. The island is known for its archaeological sites, ancient ruins, and Mediterranean lifestyle. Festivals, music, cuisine, and traditions reflect a blend of cultural influences, making Cyprus a unique cultural destination.

Trade Balance and Key Export–Import Commodities

Cyprus generally runs a trade deficit due to its reliance on imports, particularly for energy and industrial goods. However, this deficit is partially balanced by strong service exports, especially in tourism and financial services

- **Exports**: Major exports include pharmaceuticals, agricultural products, and processed food items, along with services such as tourism and financial activities that significantly contribute to foreign exchange earnings.
- **Imports**: Cyprus imports fuel, machinery, vehicles, consumer goods, and raw materials to support its domestic economy and infrastructure development.

India–Cyprus Bilateral Trade and Economic Ties

Bilateral trade between India and Cyprus is relatively modest in terms of volume but holds strategic importance. Cyprus serves as a significant investment gateway for foreign investments into India due to its favorable tax treaties and financial framework. Indian companies often use Cyprus as a base for European operations, strengthening economic ties between the two countries.

Economic Ties and Connectivity

The relationship between India and Cyprus is supported by strong financial and investment linkages. Bilateral agreements and investor-friendly policies encourage capital flows and business partnerships. Although Bilateral trade connectivity is limited, financial connectivity plays a crucial role in economic cooperation.



Comparative Insight with India

Compared to India, Cyprus has a much smaller economy and population but is more service-oriented, particularly in tourism and finance. While India has a highly diversified economy with strong agricultural, industrial, and service sectors, Cyprus relies heavily on services and external trade. However, Cyprus plays an important role as a financial gateway for investments into India, highlighting a unique economic connection between the two countries.

1. Country Profile

1.1 Basic Country Information

The Republic of Cyprus (RoC) is an island state in the Eastern Mediterranean and the third largest island in the sea. Nicosia is the capital and the seat of government, financial institutions and diplomatic missions, and remains the world's only divided capital city. The island covers approximately 9,251 sq. km, of which the internationally recognized Republic of Cyprus administers roughly 59%; the remainder comprises the area under the Turkish Republic of Northern Cyprus (TRNC, recognized only by Turkey) and the UN patrolled buffer zone.

Parameter	Detail
Official name	Republic of Cyprus
Capital	Nicosia (Lefkosia)
Major cities	Limassol, Larnaca, Paphos, Nicosia; Famagusta (northern, non RoC administered area)
Area	~9,251 sq. km (RoC administered ~5,896 sq. km)
Population	~0.995–1.0 million (2026 estimate)
Currency	Euro (€)
Political system	Presidential republic
Official languages	Greek and Turkish
Business language	English is the de facto language of commerce, banking and legal practice
EU membership	Since 1 May 2004
Eurozone membership	Since 1 January 2008
Schengen status	Not yet a Schengen member; accession remains under EU review
Time zone	EET / EEST (UTC+2 / UTC+3)

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1.2 Geography & Strategic Location

Cyprus sits at the crossroads of Europe, the Middle East and North Africa, roughly equidistant from Athens, Beirut, Cairo, Tel Aviv and Ankara, and outside Europe's peak shipping and flight congestion corridors. For Indian businesses this geography matters commercially, not merely descriptively: it places Cyprus inside the EU customs and regulatory area while sitting on the doorstep of the Levant, the Gulf approaches and North Africa, and it explains why shipping, ship management, energy transit and reexport activity have become structurally important to the economy.

- **Ports**: Limassol (main container/cargo port, handling roughly 90% of the island's seaborne trade) and Larnaca (dry bulk, general cargo; Larnaca Port & Marina redevelopment currently under review after the original concession was terminated in 2024).
- **Airports**: Larnaca and Paphos International Airports, jointly targeting passenger throughput in the range of 6.5 million per year.
- **Maritime**: 3rdlargest merchant fleet in the EU and 11thlargest globally by registered tonnage, with Limassol functioning as Europe's largest third party ship management centre.
- **Energy**: an emerging Eastern Mediterranean gas province (Cronos, Aphrodite, Glaucus fields) and a planned electricity interconnector (the EU backed Great Sea Interconnector) linking Cyprus to Crete/Greece and, prospectively, Israel.
- **Telecommunications**: multiple submarine cable landing points position Cyprus as a regional data and connectivity relay between Europe, the Middle East and Africa.

1.3 Political & Governance Structure

Cyprus is a presidential republic with an executive President serving as both head of state and head of government (President Nikos Christodoulides, in office since 2023), and a unicameral House of Representatives. Seats reserved for the Turkish Cypriot community have been vacant since 1964 amid the island's political division. The judiciary follows a common law influenced legal tradition inherited from British colonial administration, which Indian legal and professional services firms often find comparatively familiar relative to continental European civil law systems. Cyprus is a member of the Commonwealth of Nations, as is India, which provides an additional institutional and legal cultural point of connection.

1.4 Cyprus and the European Union

Cyprus has been an EU member since 2004 and adopted the euro in 2008, providing access to the EU Single Market, EU regulatory frameworks and euro area financial infrastructure. EU law applies formally across the island, although its application is suspended in areas not under the effective control of the Republic of Cyprus government.

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For Indian businesses, Cyprus's key advantage is its potential role as an EU facing operating and investment base, particularly in ICT, fintech, shipping, professional services, renewable energy, tourism and selected manufacturing. Companies established in Cyprus can operate within the wider Single Market subject to applicable EU standards, licensing and compliance requirements. Its euro area membership can also reduce currency friction in transactions with European partners. Cyprus's location in the Eastern Mediterranean further combines EU regulatory credibility with proximity to Middle Eastern and North African markets, creating opportunities for Indian companies seeking both EU access and regional connectivity. Its upcoming Presidency of the Council of the EU will also raise its visibility in Brussels and provide a potential window for institutional and business engagement.

1.5 Demographic & Social Profile

- Population of roughly 1 million, with population growth driven substantially by inward migration and the relocation of foreign professionals (particularly into ICT, financial services and shipping) rather than natural increase.
- Labour force of approximately 655,000, with an employment rate near 79% and unemployment among the lowest in the EU (around 3.0–4.7% depending on the measure and period).
- A structurally ageing population, consistent with the wider EU trend, which reinforces the economy's dependence on skilled foreign labour inflows.
- A workforce that is highly multilingual, English proficient and services oriented, with tertiary education attainment above the EU average.
- A resident Indian community of approximately 15,500 (April 2026), concentrated in shipping, IT, fintech, agriculture/farm work, domestic work and higher education.

1.6 Economic Snapshot

Cyprus has been among the fastest growing economies in the EU over 2024–2026, expanding at roughly two to three times the eurozone average, supported by tourism, ICT/professional services and investment tied to the completion of EU Recovery and Resilience Facility (RRF) projects. Forecasts for 2026–2027 show some moderation, reflecting Middle East related external demand headwinds flagged by both the European Commission and the University of Cyprus Economics Research Centre.

Indicator	2025	2026 (forecast)	2027 (forecast)
Real GDP growth (yoy)	3.8%	2.3%	2.7%
Inflation (HICP, yoy)	0.8%	3.6%	2.2%
Unemployment rate	~4.4%	~4.2%	~4.2%
General government balance (% GDP)	3.4% surplus	~2.1% surplus	~2.5% surplus

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